

INTERNAL MEMORANDUM

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To	Corporate Accounting & Finance Department; Divisional Controllers
From	Office of the Chief Tax Counsel / CPA
Date	September 15, 2025
Subject	Q3 2025 Tax Provision Updates & Compliance Guidelines
Reference	TAX-MEMO-2025-09

Overview

As we approach the Q3 close, all divisions must ensure their tax provisions reflect the updated IRS guidance and internal tax strategies enacted for the 2025 fiscal year. Please review the following directives carefully, as they mandate deviations from our standard book accounting. These directives govern the tax provision only; they do not alter the book records maintained under FIN-POL-2025-04, and any resulting difference is to be carried as a temporary difference in the deferred tax schedule.

Where a specific directive in this memorandum addresses a class of asset, that directive controls over the general provisions of Section D.

Section A: Bonus Depreciation Phasedown and Book/Tax Conformity

Rule A.1. Be advised that the federal bonus depreciation rate has decreased for the current tax year. Do not assume 100% immediate expensing for any new assets acquired in 2025.

Rule A.2. For machinery, industrial equipment, IT equipment, furniture and vehicles acquired by purchase and placed in service before July 1, 2025, the division continues to operate under its standing book/tax conformity election: tax depreciation for the 2025 provision equals book depreciation as computed under FIN-POL-2025-04. No separate MACRS recovery schedule is to be prepared for these assets.

Rule A.3. For assets falling outside the conformity election in Rule A.2, standard MACRS schedules must be applied for Q3 tax provision calculations.

Section B: Treatment of Capitalized Leases

Under recent internal tax strategies, the tax treatment for leased equipment has been strictly standardized.

Rule B.1. For all newly recognized Finance Leases capitalized during the 2025 fiscal year, a half-year convention must be applied for tax depreciation purposes in the year of capitalization.

Rule B.2. This tax rule supersedes standard straight-line book policy.

Rule B.3. For calculation purposes, newly capitalized IT/Server lease equipment is assigned a 5-year MACRS recovery period, and the first-year percentage from the applicable MACRS table is applied to the capitalized asset base regardless of the month the lease was capitalized. The capitalized asset base for this purpose is the amount at which the asset was recognized on the books on capitalization.

Rule B.4. The amount determined under Rule B.3 is a full-year deduction and is recognized evenly across those fiscal quarters of the year of capitalization in which the asset is held.

Section C: R&D Credits

All expenses related to modified proprietary manufacturing equipment remain eligible for Section 41 Research & Development tax credits. Please ensure these are flagged in the Q3 trial balance. The credit is claimed separately from, and has no effect on, the depreciation amounts determined under Sections A and B of this memorandum.

Section D: Interim Provision Mechanics

Rule D.1. Depreciation is computed on a discrete-period basis for the interim provision. Do not apply an estimated annual effective rate to depreciation.

Rule D.2. Tax depreciation recognized in an interim period equals the asset's annual tax depreciation multiplied by the number of whole months the asset was held in service during that period, divided by twelve.

Rule D.3. Report amounts to the nearest cent. Do not round to thousands in the supporting schedules provided to the external auditors.

Section E: Deferred Tax and Documentation

Differences arising between the book and tax amounts determined under this memorandum are temporary and are to be recorded in the deferred tax schedule at the division's blended statutory rate. Retain the underlying policy, contract and appraisal documentation supporting each determination in the Q3 workpaper file.

Questions on the application of this memorandum should be directed to the Office of the Chief Tax Counsel. This memorandum does not amend FIN-POL-2025-04.